Nonetheless, and despite Ayub's rejection of a no-war declaration, through 1960 Washington continued to hope for a China-driven India-Pakistan resolution. Intelligence analysts believed that the threat from the north meant an "about even" chance that India and Pakistan would settle.[134] In the meantime, Eisenhower was pleased with the improvement in their relations, and with Nehru's visit to Pakistan to sign the Indus agreement.[135]

India, on its part, continued to be displeased with US military aid to Pakistan, especially after another US-Pakistan agreement in early 1959. From the Indian perspective, this aid resulted in increased Indian defense expenditure and a more intransigent Pakistan.[136] The US, however, saw it as necessary to reassure Pakistan of the benefits that came with being an ally. This need had only increased—especially in the minds of defense and intelligence officials—after Pakistan agreed to an American intelligence facility near Peshawar.[137]

This time around, however, India and the US handled these differences more effectively. The US, for example, informed India of decisions to provide Pakistan with major equipment.[138] When the 1959 agreement was signed, American officials assured India that there was no secret coda and —contrary to Pakistani claims—the agreement applied only to communist aggression.[139] Indian officials, on their part, showed the US ambassador the prime minister's parliament statement on the subject in advance. In parliament, Nehru highlighted American assurances that this was not a new or expanded commitment. He denied that India was toning down its criticism because of American support to India, but asserted that he was not going to indulge in "fiery speeches" or "send aggressive notes." The US, after all, had "the friendliest feelings for us, by and large."[140]

The Military Solution

Thanks to China, these friendly feelings also carried over to the defense front, as the US gradually became part of the military solution to India's China problem. Before 1959, there had not been much focus in Washington on the defense sales and assistance potential of the US-India relationship. American officials trying to get development assistance for India had indeed wanted Delhi to reduce defense expenditures, arguing that it had more than enough military capability.[141]